

Deal Status Report — September 23, 2026

Week of September 23, 2026 • Prepared by Grant Sapkin • For Kenny & Michael Motew

East Lincoln Park — 67-Unit Deconversion

ACTIVE / TOUR NEXT WEEK

Stage: Screening Value: ~\$15.0M (our basis) 67 units Counterparty: Matt Neistat		
Headline: A 67-unit Lincoln Park building (near DePaul / Wiener Circle) came to us through Matt, who advises the ownership group after they took an unsolicited offer. It fits our mid-market thesis on both size and location. Price talk is wide: sellers are floating \$18.5–\$19.0M, Matt himself pegs value nearer \$17.0M, and we plan to start underwriting around \$15.0M. Deconversion looks feasible — 58–59 of 67 units are already rented with only eight owner-occupants (one owner holds ~25%). Recent capital is done (roof, masonry, hallways, elevator); remaining work is electrical (~\$150K quote) and galvanized-plumbing replacement, with total capex estimated at \$1.5–\$2.0M (~\$15K/unit). Post-reno one-bedroom rents pencil at \$2,700–\$2,900.		
TASK	STATUS	NOTES
Request detailed financials	● In Progress	Pull rent roll, expenses, and unit-level detail from Matt to underwrite from ~\$15.0M basis.
Schedule tour	● Waiting	Targeting a walk-through next week; confirm date with Matt.
Test deconversion / capex	● In Progress	Model the eight owner buyouts and \$1.5–\$2.0M capex against the \$2,700–\$2,900 post-reno rents.

3639 N Broadway — Wrigleyville Development Site

MODELING UPZONE

Stage: Hold Value: \$5.0M 24 units as-of-right (59 upzone case) Counterparty: Steve Frishman		
Headline: Wrigleyville development site at a \$5.0M ask. The base case is 24 units as-of-right; we are now modeling a denser scenario — 59 residential + 2 retail + 40 parking — that requires a zoning change (not as-of-right). The upzone is the basis lever: at 59 units the \$5.0M land runs ~\$85K/door versus ~\$208K/door at 24, moving land basis from above our \$150K/door ceiling to comfortably under it. The swing variable is entitlement risk and timeline on the rezone; construction cost per square foot and exit cap on cost remain the core sensitivities, plus reassessment exposure after any rezone.		
Run both scenarios w/ Kenny & Michael	● In Progress	Compare 24-unit as-of-right base against the 59-unit upzone case.
Gate the 59-unit case	● Waiting	Decision hinges on whether the entitlement timeline + cost still clears a 7%+ yield on cost.

IN SCREENING / EARLY LOOK THIS WEEK
515 N Dearborn St (Screening, \$7.5M — River North, Robert Baum) — sits on the edge; verify the numbers and test seller flexibility before committing time.
1006 S Michigan Ave (Screening, \$7.75M, 49 units — South Loop) — newly screened; scale and location fit the box, next step is confirming in-place rents and expenses.
2801 W Logan Blvd (Screening, \$4.0M, 14 units — Logan Square, Will Sprinkman) — fails the buy box: price above the \$2.0M ceiling and DSCR ~1.05 below the 1.20 floor. Pass unless repriced.
1312 W North Ave (Hold, \$1.15M — Michael Rourke) — holding; no new movement to underwrite yet.

PASSED THIS WEEK
1504 N Dearborn St (\$8.5M — Sam Grohe) — passed: too studio-heavy with units too small for the thesis.
1430 N Dearborn St (\$10.5M — Sam Grohe) — passed: same read — studio-heavy, small units.